LIFE SCIENCES INSIGHTS

CHASING **VALUE,** MISSING VOLUME

The pharmaceutical ecosystem followed big pharma into specialty and biologics.
Meanwhile, a **$726 billion generic medicine market** built its own champions — and is still waiting for a supplier ecosystem to match.

Juan Roberts
Europe Partner — TheMindCo
2026

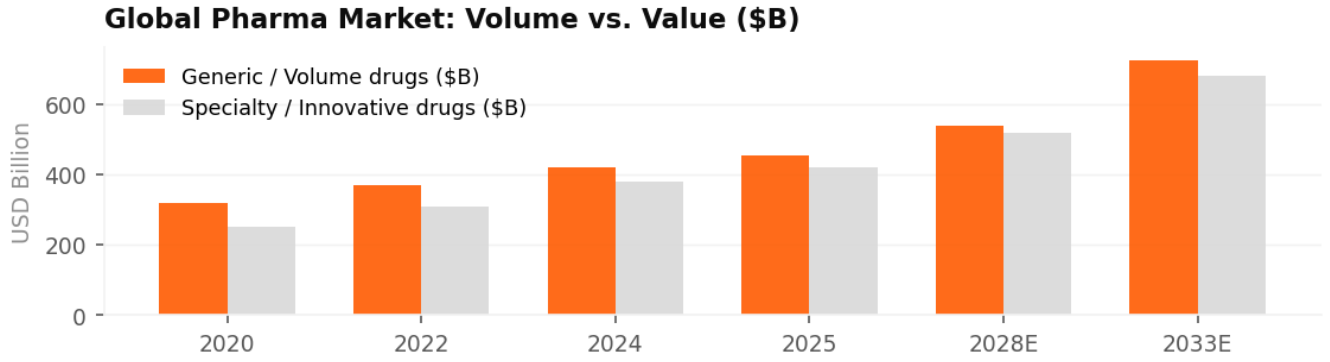
THE GREAT DIVIDE

The pharmaceutical industry is splitting in two — and the two halves are diverging fast.

For most of the past two decades, the pharmaceutical industry moved as one. Big multinationals dominated the landscape, and suppliers, CDMOs, and service providers built their strategies around them. That logic is breaking down.

One track — **Value** — is concentrating rapidly. Specialty medicines are on course to represent **43% of global pharmaceutical spending by 2028**. The top 20 biopharma firms already generate nearly **90% of their revenues from blockbusters**: targeted oncologics, biologics, cell and gene therapies, GLP-1s. Big pharma is exiting primary care, antibiotics, and commodity categories wherever it can.

The other track — **Volume** — is growing fast and largely ignored. The global generic drugs market was valued at **$453 billion in 2025** and is on a path to **$726 billion by 2033**. Branded generics alone represent another $277 billion today. These are the products that treat hypertension, diabetes, cardiovascular disease, and respiratory conditions for billions of patients in Brazil, Mexico, India, Southeast Asia, and beyond.



Sources: IQVIA Institute 2025; Precedence Research Generic Drugs Market Report 2025; AMCP Annual Conference 2026

> **Generics account for 70–80% of global prescription volume but only ~20% of spending. The volume story is real — the ecosystem attention is not.**

THE ECOSYSTEM GAP

The companies that supply pharma retrained themselves for the high-value half — and left the volume side underserved.

The incentives were clear. Biologic molecules command higher margins. Complex manufacturing earns premium CDMO rates. Aseptic fill-finish equipment sells at multiples of oral solid line capacity. The pharma ecosystem — CDMOs, API suppliers, excipient manufacturers, packaging companies, equipment providers — followed the money, rationally.

The fastest-growing CDMO segments in 2025 are biologics, peptides, antibody-drug conjugates, and cell & gene therapy. India's CDMO sector, historically the world's supplier for small-molecule generics, is executing an explicit **pivot toward high-value modalities** — with government PLI scheme support of $2 billion directed at biologics and complex APIs. Even aseptic filling equipment markets are projected to grow from $1.3B to $3.4B by 2035, a CAGR of 8.7%, driven almost entirely by biologic parenteral demand.

What this means in practice: a local pharma company in Brazil trying to scale up an oral solid dose portfolio receives, at best, standardized catalogue service from an ecosystem that has reoriented its innovation, technical talent, and strategic account management toward a different customer.

Sources: Future Market Insights Aseptic Filling Market 2025; India CDMO Market Report 2025; BCG Biopharma Trends 2026

The structural outcome: local and regional pharma companies manufacturing high-volume oral solids are treated as commodity accounts — long lead times, minimal technical support, little regulatory advisory, and no strategic partnership orientation.

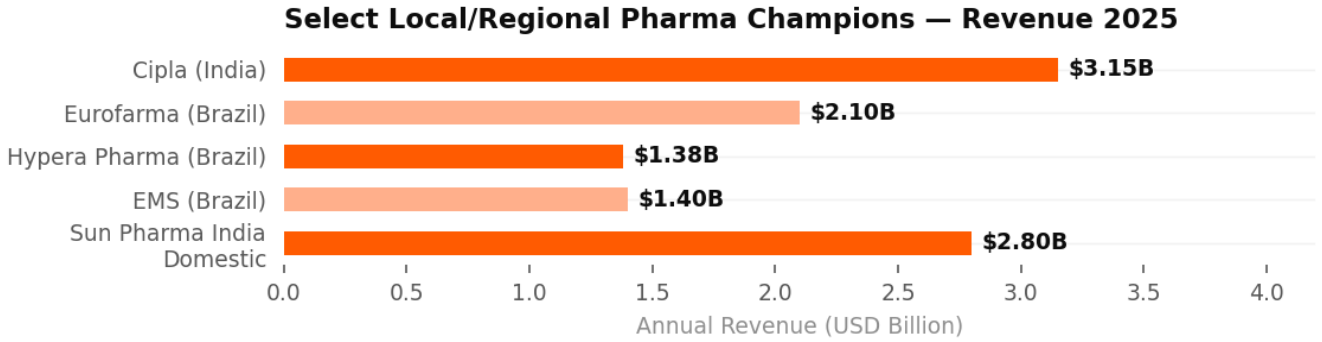
STRATEGY PRINCIPLE 01

The volume winners aren't challengers. They're already incumbents — and they're scaling.

"Don't wait for your customers to tell you what they want. Watch what they do."
— PETER DRUCKER

The narrative of "local pharma as scrappy challenger" misses what's already happened on the ground. In Brazil, **Hypera Pharma** operates South America's largest pharmaceutical complex — 120,000 square meters in Anápolis — producing over **650 million solid doses per year**. EMS has proposed a merger with Hypera that would create a combined entity of **R$16 billion in revenue with 17% Brazilian market share**.

Eurofarma, with $2.1 billion in trailing revenues, developed Brazil's first locally-produced biosimilar. **Cipla** posted $3.15 billion in generic segment revenue in 2024, growing 5.6%. In India, **Sun Pharma's domestic business** is growing at over 10% year-on-year while its US generics portfolio stagnates. These are not small companies finding their footing. They are large-scale manufacturers with growing operational complexity and growing strategic needs.



Sources: Eurofarma PitchBook Profile 2025; Hypera Pharma Corporate Profile 2025; Cipla Annual Report 2024-25; Sun Pharma MD Report 2025

> **Brazil's patent cliff adds 117 blockbuster molecules going off-patent by 2028. Local manufacturers are first in line to absorb that volume.**

STRATEGY PRINCIPLE 02

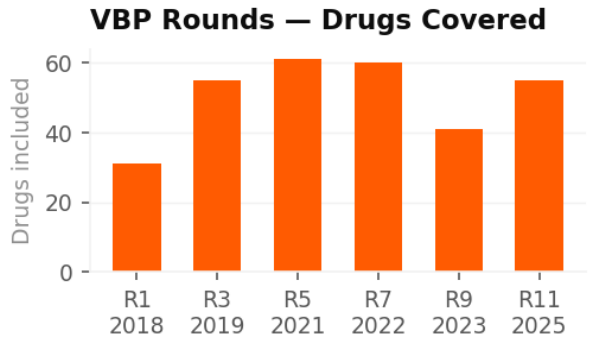
China ran the experiment first. When multinationals exit volume, local champions fill it — permanently.

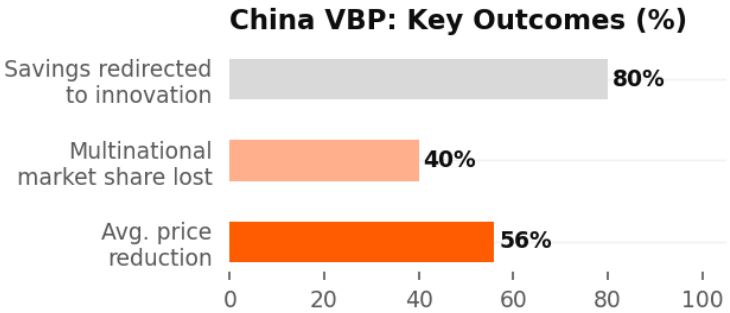
"Competition is not about beating rivals — it's about creating value no one else is creating."
— MICHAEL PORTER

China's Volume-Based Procurement (VBP) program is the most important natural experiment in modern pharmaceutical markets. Starting in 2018, the government ran centralized procurement tenders forcing average price cuts of **over 50%** on selected drugs. By the 11th round in 2025, the program covered 55 drugs across 14 therapeutic areas and had saved the Chinese health system an estimated **$60 billion**, with 80% redirected to fund innovative therapies.

The consequences for multinationals in primary care were immediate and structural. At least one major multinational combined its primary care commercial teams and **cut headcount by approximately 40%**. Local Chinese companies — operating with lower cost bases and greater agility in the tender process — won the volume contracts. They used that scale to build manufacturing capability, distribution, and commercial infrastructure that will not be easily undone.

The lesson is not that China is unique. It is that **whenever a structural mechanism forces multinationals to de-prioritize a volume segment**, local companies that are positioned to absorb it will do so — and will then require the full ecosystem support that the multinationals previously commanded.





Sources: Simon-Kucher VBP Analysis 2025; L.E.K. Consulting VBP Report; Frontiers in Pharmacology VBP Impact Study 2024

STRATEGY PRINCIPLE 03

The gap between what local pharma needs and what the ecosystem offers is structural — not cyclical.

"The most dangerous kind of waste is the waste we do not recognize."
— SHIGEO SHINGO

It would be comforting to assume that as local pharma companies grow, the ecosystem will naturally reorient. History suggests otherwise. Ecosystem suppliers — CDMOs, excipient producers, API manufacturers, equipment vendors — build their commercial models, technical capabilities, and account management structures around anchor customers. When those anchor customers are big pharma, the organizational logic of the ecosystem becomes calibrated to that client profile.

Local pharma companies in emerging markets need **different things from the ecosystem**: oral solid dose manufacturing support at scale, API supply chains tuned to volume economics rather than specialty pricing, regulatory support navigating fragmented national frameworks, formulation development for branded generic portfolios, and commercial intelligence on local market dynamics. None of these capabilities are the focus of current ecosystem investment cycles.

8.7%
CAGR of aseptic filling equipment — the biologic-focused segment

6.3%
CAGR of oral solid packaging equipment — the volume segment

$44B
India CDMO market by 2029 — majority pivoting to biologics

The gap is not about intent — it is about where the capital, the talent pipelines, and the innovation cycles are pointed. Closing it requires deliberate repositioning, not organic drift.

Sources: Future Market Insights 2025; Grand View Research Packaging Equipment 2025; IMARC India CDMO Market 2025

STRATEGY PRINCIPLE 04

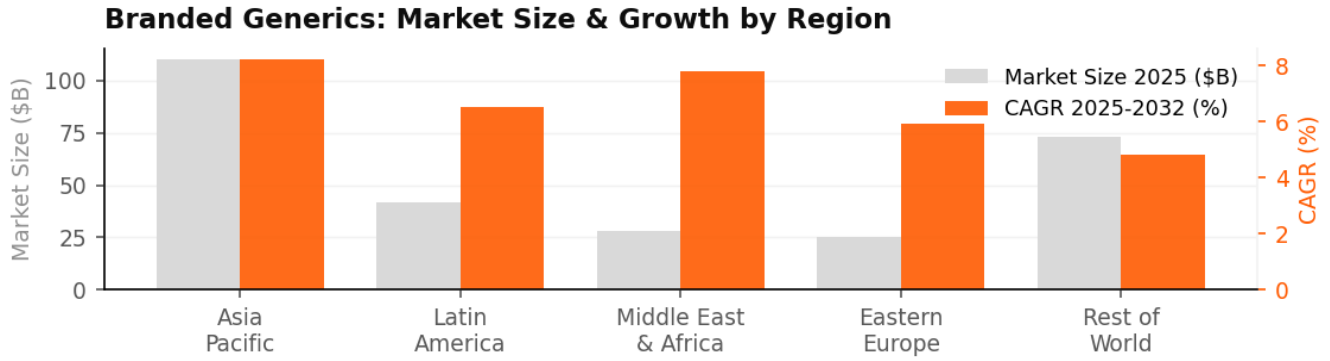
The opportunity is not in serving everyone. It is in becoming the strategic partner of the volume winners.

"Customers don't know what they want until you show them."
— STEVE JOBS

For suppliers, CDMOs, service providers, and strategy firms operating in the pharmaceutical ecosystem, the volume track represents a distinct and underexploited category of client relationships. The branded generics market alone is valued at **$277 billion today and growing at 6.5% annually**, with the highest growth in Asia Pacific (8.2% CAGR), Latin America (6.5%), and the Middle East & Africa (7.8%).

Five specific capability domains represent the clearest opportunity gap, each representing a service area where local pharma companies have growing needs and limited supply of genuinely strategic partners:

1. Oral solid dose manufacturing support at the volumes and economics that branded generic portfolios require. **2. API supply chains** built for volume economics in emerging markets rather than specialty transfer pricing. **3. Branded generic formulation and development services** that compress time-to-market for post-patent assets. **4. Regulatory and market access support** at the local level — country by country, not by global regulatory template. **5. Commercial intelligence and analytics** calibrated to the competitive dynamics of local markets, not multinational launch playbooks.



Sources: Future Market Insights Branded Generics Market 2025; Polaris Market Research 2025

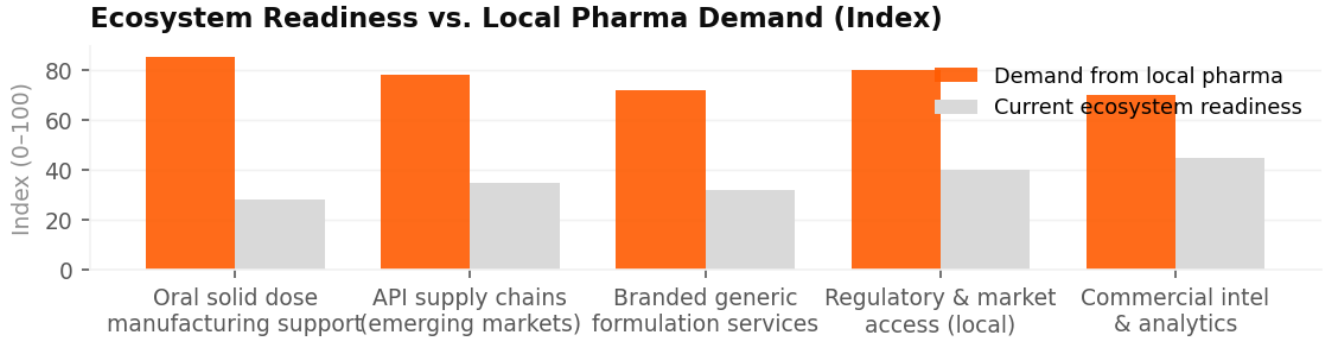
FINAL THOUGHTS

The bifurcation of pharma is not a trend. It is the new structure of the industry.

The companies positioned to lead in pharmaceutical markets over the next decade will not necessarily be the ones with the deepest capabilities in biologic manufacturing or cell therapy logistics. A large and growing share of pharmaceutical volume — measured in patients reached, prescriptions dispensed, and manufacturing throughput — will run through a different set of companies: the local and regional champions that have already captured primary care in China, are consolidating branded generics in Brazil, and are building the commercial infrastructure to absorb patent expirations across Southeast Asia and LATAM.

For ecosystem players — suppliers, CDMOs, equipment manufacturers, strategy firms — **the window to position as the preferred partner of these companies is open now**. As local champions grow, they will attract more supplier attention, and first-mover relationships will be harder to displace. The companies that orient toward this segment today will build revenue streams, reference cases, and operational expertise that compound over time.

The strategic question is not whether to serve local pharma. It is whether to treat it as a residual category or as a primary growth thesis — and to build accordingly.



Note: Index values are illustrative, based on qualitative synthesis of supplier commercial orientation and local pharma demand surveys, 2025.

> **The companies that win in volume will not look like the companies that won in value.**
> **The ecosystem that serves them won't look the same either.**

ABOUT THEMINDCO

TheMindCo is a boutique research and strategy firm founded in 2006 by McKinsey and Booz Allen Hamilton alumni, with global hubs in **Buenos Aires, New York, and Milan**. Over two decades, TMC has delivered **600+ projects** for **50+ clients** across Life Sciences and CPG & Food & Beverages.

TMC works across three service pillars: **Research & Intelligence** (decision-grade primary research, competitive intelligence, AI-powered synthesis), **Strategy & Growth** (innovation strategy, go-to-market, portfolio strategy), and **Execution & AI** (implementation, AI integration, capability building).

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Juan Roberts

Europe Partner

ABOUT THE AUTHOR

Juan Roberts

Life Sciences · Competitive Intelligence · Business Development · M&A

10+ years of consulting experience supporting Life Sciences companies across Europe and LatAm. He focuses on Competitive Intelligence, advanced data analysis, and business development — often in M&A and strategic investment contexts.

Leading TheMindCo's European practice from the UK, Juan works with pharma, medtech, and packaging companies on the decisions where getting it wrong is costly.

MSc in Political Economy of Emerging Markets, King's College London. Board member, British Argentine Chamber of Commerce.

For inquiries, research engagements, or strategic advisory:

juan.roberts@themindco.com

www.themindco.com